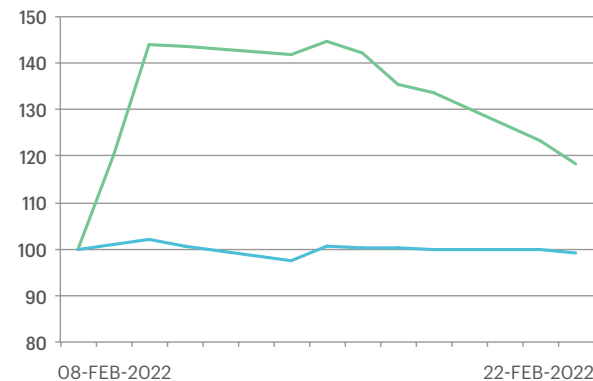


STELLAR PERFORMANCE

Adani Wilmar listed on the bourses in early February and has outperformed the benchmark index since then



■ ADANI WILMAR ■ S&P BSE SENSEX

Source: ACE Equity; Graph normalised to the base of 100

pan-India company. “Since the edible oil business is a low margin one, whatever they save on logistics and such related costs, reflects in the bottom line. And as the scale of operations grow, it catapults into higher profits,” he says, adding that AWL’s current net profit margin—around 2 per cent—has the potential to grow to 4.5 per cent in coming years.

It, however, is not immune to its due share of challenges, especially after its public listing. At 84 per cent, the contribution of the edible oil business in AWL’s total sales is enough to send alarm bells ringing. The segment also offers poor margins and, because of its heavy dependence on imports, is susceptible to a host of factors beyond its control. That would include the government’s stance on import duty, low yield of oil seed crops in India, and price volatilities in international markets, among others. For instance, the Ukraine conflict poses a threat to its supplies as 90 per cent of crude sunflower oil is imported from the region. With the crisis still on, AWL’s 45 days of oil reserves will be under stress and Malik says a supply crunch could be expected in April.

AWL’s Ebitda margin is currently at 3.57 per cent (FY21)—much lower than other leading FMCG players like ITC (32 per cent), HUL (24.7 per cent) or Nestlé India (24.5 per cent), whose businesses are not so dominated by edible oil. Analysts, though, don’t seem worried. “Operating margin at 3-4 per cent is not unusual [given its high exposure to the edible oil business],” says Deepak Jasani, Head of Retail Research at HDFC Securities. Cost optimisation through higher logistical

efficiencies may improve margins marginally, but it is the newer initiatives (in branded foods) that have the potential to gradually improve AWL’s margins to over 5 per cent in 2-3 years. But he also points out that edible oil is a volumes game, plus there’s not much brand loyalty. So, if prices are hiked, branded players like AWL run the risk of losing customers.

And that brings us to the non-oil part of AWL’s business. While the company has been focussed on building its base of branded edible oil and industry essentials like oleo-chemicals during AWL’s initial years—1999-2013—it has since changed track. Over the past few years, the firm has aggressively forayed into branded, packaged kitchen commodities, such as branded rice, wheat flour, soya chunk, besan, *maida*, *suji*, dal and sugar.

Going beyond oil

“We have been concentrating on developing our foods basket. The aim is to be very strong in basic/essential staples that are consumed daily. After we champion this first stage, then comes the value-added portfolio,” says Malik. The plan is to make a mark in the hotels and restaurants supply business, where it already has a significant customer base due to its edible oil supremacy, apart from playing in the retail segment. Begun in 2014 with its foray into soya chunks, pulses and besan, the food and FMCG business has since been expanded into major categories such as branded rice, wheat flour and sugar.

In search of higher margins, AWL entered the fast growing ready-to-cook segment in 2020—under its flagship Fortune brand. According to Nielsen data, AWL cornered 11.7 per cent share and third position in the domestic branded rice market in the October-December, 2021 quarter. It also enjoys 5 per cent share—and second spot—in the wheat flour market. Overall, the foods business raked in ₹1,865 crore or 4.8 per cent of its sales during the first nine months of FY22. But its volume offtake grew by a massive 35 per cent year-on-year, compared to 6 per cent in edible oil, and fall of 13 per cent in industry essentials such as oleo-chemicals, castor oil and lecithin.

Last year, AWL also forayed into the hand wash, sanitisers and soaps business to offset the poor performance of its industry essentials business. While sales from the personal care business is still low—about ₹200 crore a year—it helps AWL improve its margins by adding value to a large, market-leading derivatives business. According to Malik, that’s a natural transition for AWL, which is already the largest maker of oleo-chemicals in the country with all leading personal-care majors as its clients.

An analysis by Ventura Securities says while the industry essentials business is expected to grow by 12.2 per cent, compared to 14.3 per cent in edible oils, it is the foods and FMCG segment that will be the key growth